



DEPARTMENT OF NATURAL RESOURCES

Board of Land Commissioners

STATE FOREST LANDS

2 CCR 409-1

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

1.1.0 SALE AND OTHER DISPOSITION OF FOREST PRODUCTS FROM STATE LANDS

These rules and regulations are promulgated pursuant to the authority conferred upon the State Board of Land Commissioners in sections 36-7-104 and 36-7-201, C.R.S. (1973), and in accordance with section 24-4-103, C.R.S. (1988).

1.1.1 Definitions

- (a) "Board" means the Colorado State Board of Land Commissioners.
- (b) "State lands" means all lands under the jurisdiction of the Board.
- (c) "Applicant" means any person or persons, firm, association, corporation or governmental entity who files an "Application for Forest Products Sale" from state lands.
- (d) "Forest products" includes, but is not limited to, logs, house logs, posts, poles, rails, Christmas trees, fuel wood, transplants, boughs, nuts and cones.
- (e) "Permit sale" means a forest product sale having a total value of less than five thousand dollars (\$5,000).
- (f) "Bid sale" means a forest product sale having a total value equal to or greater than five thousand dollars (\$5,000).
- (g) "Qualified Bidder" means any person or persons, firm, association, corporation or governmental entity who is able to fulfill the terms and conditions contained in the bid advertisement.
- (h) "Forest Products Permit of Authority" means a license or contract of sale issued by the State Board of Land Commissioners, or its agent, to a successful bidder or applicant for the harvesting of forest products on state lands.
- (i) "Agent" means the person or persons, firm, association, corporation or governmental entity who is authorized by the State Board of Land Commissioners to manage the forest resources on state lands and to initiate, conduct, transact or otherwise manage forest product sales on behalf of the State Board of Land Commissioners in accordance with these regulations.
- (j) "Surface lessee" means the person or persons, firm, association, corporation or governmental entity whose name appears of record in the office of the State Board of Land Commissioners as having an interest in or right to use the surface of the state land.
- (k) "Forest Management Plan" means a multi-year master planning document prepared for state land which establishes the planning context within which annual Forest Work Plans are developed and approved.

- (l) "Forest Work Plan" is an annual set of specific projects by which the Board implements its Forest Management Plan.
- (m) "Parcel" generally means each undivided area of contiguous state land. Parcels may vary greatly in size. Two or more otherwise distinct parcels may be treated as one parcel under these regulations if the parcels are close in proximity and physical characteristics.

1.1.2 Forest Management Plans

The Board or, at the direction of the Board, its agent, shall prepare Forest Management Plans which shall establish the management of the forest resources on state lands. Forest Management Plans shall be prepared for each parcel of state land prior to the implementation of the initial management practice or sale of forest products effecting that parcel. The Board may, at its discretion, direct that revisions be made to any Forest Management Plan. The Forest Management Plan shall utilize forest management practices approved by the Board, consistent with long-term protection of forest resources. All Forest Management Plans prepared by the Board's agent must be approved by the Board prior to their implementation.

- (a) Forest Management Planning and Recommendations: Each Forest Management Plan shall;
 - (i) recommend the management practices of the state forest resources;
 - (ii) establish goals with respect to managing state forested lands for the production of timber, and the control of insects, disease, fire, and noxious weeds;
 - (iii) complete and display inventory data for each region;
 - (iv) provide an estimated cost breakdown of and anticipated returns from the implementation of management goals for each region; and
 - (v) include a statement of the impact of any previous timber harvests on revegetation efforts, maintenance of the species diversity, preservation of old growth where revegetation will not occur, and protection of unique or special biological and ecological features;
- (b) All recommendations in the Forest Management Plan for forest products sales shall include:
 - (i) the basis for the recommendation for the forest products sale;
 - (ii) a legal description of the state land proposed for harvesting;
 - (iii) the type and an estimate of the amount of the forest product to be harvested;
 - (iv) the proposed silvicultural methods required for harvesting the timber;
 - (v) the proposed silvicultural methods required to be imposed on the forest products harvest as appropriate, including road construction and maintenance, slash disposal, and reclamation of the state land;
 - (vi) a reference to the treatment and mitigation options, the impact of timbering on soil and water conditions and areas for selective cutting and sensitive areas; and
 - (vii) a statement of the impact of the sale of forest products on the other multiple uses of the forest including recreation, wildlife and fisheries, livestock grazing and mineral development.

1.1.3 Forest Work Plan

The Board, or at the direction of the Board, its agent shall annually prepare a statewide Forest Work Plan which shall establish the implementation of the appropriate management goals as set forth in the Forest Management Plans for the following year.

The Board may revise the Forest Work Plans at any time as it deems necessary. All Forest Work Plans prepared by the Board's agent must be approved by the Board prior to their implementation.

Each Forest Work Plan shall list for each proposed practice:

- (a) a legal description of the state land subject to the practice;
- (b) the practice to be implemented;
- (c) the size of the land area on which the implementation will occur;
- (d) the type and volume of forest product to be harvested;
- (e) the estimated cost, return, or other benefit of implementation; and
- (f) the estimated duration of the practice.

1.1.4 Sale of Forest Products

The Board may sell forest products from state lands, at any time, to secure the maximum possible amount therefrom or to ensure the protection of the forest resources in accordance with these regulations, approved forest management practices and the Forest Management Plan.

1.1.5 Application for Forest Products Sale

- (a) The Board, or at the Board's direction, its agent, may initiate a forest product sale either with or without an Application for Forest Product Sale.
- (b) All Applications for Forest Product Sales from state land must be made on forms furnished by the Board or its agent, and completed in full. Any false or willfully incomplete statement will be considered as fraud, deceit, or misrepresentation and will be cause for the rejection of such application or revocation of any subsequent Permit of Authority.
- (c) All applications for a forest product sale shall include, at a minimum:
 - (i) the name, address and telephone number of the applicant;
 - (ii) the type and amount of the forest product desired;
 - (iii) the legal description of the state land on which harvesting is proposed;
 - (iv) the offered purchase price for the forest product;
 - (v) a statement that the applicant will comply with all applicable state, local and federal laws and regulations.
- (d) The completed Application for a Forest Product Sale is to be submitted to the Board or its agent together with the required filing fees. Application filing fees are not refundable.

- (e) In the event that the forest product is located on sections or parcels of noncontiguous state land, separate applications must be submitted.

1.1.6 Preparation for Sale

- (a) The Board or its agent shall notify the surface lessee, if any, of the lands subject to the proposed forest product sale 30 days prior to such sale.
- (b) Prior to any sale, the Board or its agent shall:
 - (i) inspect, cruise, and appraise the forest product proposed for sale;
 - (ii) designate or mark the forest products to be harvested; and
 - (iii) determine the access for the harvesting of the forest products which is in compliance with the standards and procedures established by the Board, or, at the Board's direction, by its agent. To the extent possible, access for harvesting will be done in such a manner as to minimize damage to the terrain and the visual quality of the area in order to protect and enhance other uses of the forest in accordance with accepted forestry practices.
- (c) When a forest product is advertised for sale as provided in section 1.1.8, the forest product will be offered in accordance with legal survey descriptions of the land on which it is located. The forest product may be sold according to the subdivisions of sections of the land it is on as established by the United States Public Survey thereof, or by a metes and bounds description.

1.1.7 Purchase Price and Sales

- (a) The purchase price of forest products is independent of the application fees required by section 36-1-112, C.R.S. (1988 Supp.).
- (b) The Board or its agent shall not sell or dispose of forest products located or growing on state lands at less than the market value of the forest product unless essential to the management of state lands. The Board reserves the right to reject any and all bids.
- (c) The purchase price of forest products shall be as follows:
 - (i) Permit sales shall be based on negotiated market value of the forest product.
 - (ii) If there is more than one applicant for a permit sale, the sale shall be conducted as a bid sale.
 - (iii) Bid sales shall be based on the highest qualified bid received through competitive bidding. The Board or its agent shall determine whether the sale will be conducted by oral auction or sealed bidding or both.

1.1.8 Advertising

- (a) All bid sales of a forest product shall be advertised in a newspaper of general circulation in each county in which the forest product is located. The advertisement shall state the time, place, description of the forest product, and terms of the sale. The advertisement shall be published a minimum of three times over a 30-day period prior to the auction day or final bidding date.
- (b) The cost of newspaper advertising must be paid by the purchaser of the forest product.
- (c) Subject to the requirements of subsections (a) and (b), the Board or its agent may give further notice of a forest products sale by any means deemed appropriate.

1.1.9 Bid Guarantee

- (a) The Board may require a bid guarantee from any successful bidder on any bid sale. If so required the bid guarantee shall be up to 10% of the bid amount. The bid guarantee must be by a certified check, cashier's check, bid bond, or bank money order. The bid guarantee shall be credited to the final purchase price.
- (b) If a purchaser does not furnish the required payments as set forth in sections 1.1.10, 1.1.12 and 1.1.13 within 30 days of the date of sale, the sale shall be considered null and void and the bid guarantee forfeited. At this time the sale may be awarded to the second high bid of record. An extension of time to make the required payments may be granted to the applicant if a written request outlining the circumstances is submitted and approved by the Board, or at the Board's direction, its agent.

1.1.10 Performance Bonds

Performance Bonds for all sales shall be required from the purchaser to ensure the performance of any duties or obligations the purchaser has under the terms of the Forest Products Permit of Authority. The bond amount shall be no less than 10 percent of the total sale value. Cash bonds or performance bonds shall be accepted. Performance bonds shall be refunded to the purchaser within 30 days after successful completion of all terms and conditions of the forest product sale, inspection of the affected state land and release of the Forest Product Permit of Authority. The Board may approve partial refunds of performance bonds after the successful completion of less than all terms and conditions of the Forest Products Permit of Authority so long as sufficient bond amounts remain to ensure performance of all remaining duties or obligations of the purchaser.

1.1.11 Forest Products Permits of Authority

- (a) Upon acceptance of an offered price for a permit sale, or the high bid for bid sale, the Board or, at the direction of the Board, its agent, shall issue a Forest Products Permit of Authority to the purchaser.
- (b) Forest Products Permits of Authority shall set forth the terms and conditions to be complied with by the purchaser. Such terms and conditions shall include requirements to be followed by the purchaser in harvesting the forest product from state lands including the following:
 - (i) the name, address and telephone number of the purchaser;
 - (ii) the type and amount of forest product to be harvested;
 - (iii) the legal description of the state land on which harvesting is to occur;
 - (iv) how the forest product to be harvested is designated;
 - (v) the appropriate performance requirements, which may include requirements for avoiding or mitigating adverse impacts on wildlife, soil, other vegetation, water resources and other surface lessees; and
 - (vi) the appropriate requirements for reclamation of the state land; and
 - (vii) a statement that the purchaser must comply with all applicable state, local and federal laws and regulations.
- (c) A Forest Product Permit of Authority must be issued before harvesting operations commence.

1.1.12 Stumpage Payments

Payment in full or a down payment for the forest products purchased, as determined by the Board or at the Board's direction, its agent, shall be paid before harvesting operations can begin. The amount of the down payment shall be based on the sale volume of the forest product and as determined by the Board, or, at the Board's direction, by its agent.

1.1.13 Slash Disposal Deposits

The Board or its agent shall require slash deposits in advance of harvesting operations for all forest product sales where heavy slash accumulations are anticipated. The slash disposal deposit will be expended by the Board or its agent for slash disposal work or refunded to the purchaser if the purchaser satisfactorily completes the required slash disposal work. A portion of the slash disposal deposit may be expended by the Board or its agent and the remainder refunded to the purchaser based upon the amount of work completed by the purchaser. The Board shall provide the purchaser with an itemized statement of the expenditure of said funds.

1.1.14 Sales Under \$250

The Board, or at the Board's direction, its agent, may waive the requirements set forth in sections 1.1.5, 1.1.6, 1.1.10 and 1.1.11 for forest product sales of under \$250.

1.1.15 Accounting

The Board, or at its direction, its agent, shall prepare every six months an accounting of all costs and benefits, including revenue earned, associated with the management and sales of state forest products pursuant to approved Forest Management Work Plans.

1.1.16 Statement of Basis, Specific Statutory Authority, and Purpose

The provisions of sections 36-7-104 and 36-7-201(5), C.R.S. (1973) provide the specific statutory authority for the adoption of the attached regulations. The State Board of Land Commissioners also adopted, in compliance with section 24-4-103(4)(c), C.R.S. (1988), the following statement of basis and purpose.

Section 36-7-201(5), C.R.S. requires the Board to promulgate rules and regulations for purposes other than the preservation, conservation, cutting and sale of timber on Colorado State Forest lands. Those purposes are not covered by these regulations, but are the subject of regulations to be promulgated by the Board.

The statutes pursuant to which these regulations are promulgated were first adopted in 1937; however, these regulations are the first regulations promulgated in accordance with section 24-4-103, C.R.S.

These regulations are promulgated not only in compliance with sections 36-7-104 and 36-7-201(5), but also consistent with the Constitutional and general statutory mandates of the Board to maximize revenue from the state lands and to protect and preserve these state lands.

These regulations provide that the Board will be directly responsible for protecting and managing state forest lands, including forest products sales, in accordance with approved forestry practices. Because neither the Board nor its staff has the expertise needed to make determinations on the best management practices for state forested lands, the Board anticipates entering into agency agreements with forestry experts who will provide assistance and recommendations to the Board. The Board anticipates entering into such an agreement with the State Forest Service for the majority of state forested lands because of the State Forest Service's expertise and statutory mandate to provide such assistance. This agency

agreement is anticipated to cover those state lands the Board determines are likely to need forest management for protection of the forest products and for potential forest product sales.

The regulations provide at section 1.1.2 for the preparation of Forest Management Plans. These plans will be prepared for each parcel of state forested lands prior to any implementation of a management plan for that parcel. In other words, with few exceptions, before the Board or its agent undertakes any activity that would affect the protection, preservation, productivity, or disposal of any forest product on a particular parcel of state land, a Forest Management Plan for that parcel must be prepared by the Board or its agent, and approved by the Board. The exceptions would include minor clearing of forest products in conjunction with other uses of state land, for example, to construct a building or road.

Forest Management Plans are to be prepared as needed or as directed by the Board. It is anticipated that Forest Management Plans will be prepared by the Board's agent to be approved by the Board.

The Board received testimony that the Forest Management Plans should include a detailed analysis of the environmental impacts of proposed management practices, particularly involving sales of forest products, and management of aspen stands, and a detailed cost-benefit analysis of all proposed forest product sales. The Board believes that some analysis of the impacts of forest management practices is warranted to ensure that the forest products are protected and preserved, and any adverse affects on other uses of the state land are mitigated or eliminated, therefore, language to this effect was included in the regulations. However, the Board rejected the inclusion of a large-scale environmental analysis and a cost-benefit analysis as too costly, not required by state law.

A suggestion was made to establish an advisory committee to be made up of representatives from industry, state agencies, environmental groups and the public to review Forest Management Plans to provide recommendations to the Board. The Board believes the establishment of such a committee may be helpful in some situations, and it may elect to create an advisory committee to review individual Forest Management Plans on an ad hoc basis.

The regulations provide at section 1.1.3 for the preparation of Forest Work Plans. These Forest Work Plans are to be prepared on an annual basis to provide for the management practices to be implemented for a particular parcel for the following year. Forest Work Plans are based on approved Forest Management Plans, and are themselves to be approved by the Board.

Several sections of the regulations provide the methods by which forest products are sold. Many of these provisions are based on statutory requirements. Interested persons may submit applications for the purchase of forest products to the Board, or the Board may elect on its own to offer specific forest products for sale. By statute, any sale valued at over \$5,000 must be by public bid.

The Board or its agent is to notify all surface lessees of a proposed sale of over \$250 at least 30 days prior to the approval of the sale or the selection of the bid.

Pursuant to section 1.1.7(b), the Board or its agent cannot sell or dispose of forest products at less than market value unless essential to the management of state lands. The Board considers essential management to include clearing forest products for other uses of state land, such as building or road construction.

The Board received testimony urging it to provide for formal public participation in the forest management process. The Board is sensitive to the need and benefits of public participation, but has determined the inclusion of a formal public participation process in the regulations is unnecessary and not required. The Board holds weekly meetings at which formal decisions are made, including approvals of Forest Management Plans and Forest Work Plans. These meetings are open to the public for public input. The Board encourages the public to attend these meetings.

2.1.0 Administration and Leasing of State Forest Lands

These rules and regulations are adopted pursuant to the authority conferred upon the State Board of Land Commissioners in § 36-7-201(5), C.R.S. (1973). The purpose of these rules is to facilitate efficient management and protection of the State Forest for multiple uses and to maximize revenues derived there-from.

The Board may, at its discretion, with or without an application, issue leases, permits, licenses, or other rights for the use, but not sale, of the State Forest land for any purpose authorized by law, including, but not limited to, grazing, agricultural, residential, commercial, industrial, recreational, mineral development, and other natural resource use or development, with the exception of managing or harvesting forest products, which is covered by § 1.1.0 entitled "Sale and Other Disposition of Forest Products From State Lands." The Board shall issue rights for State Forest lands based upon its determination of the use or uses which secure, over the long term or short term, the maximum return from such lands and which protect the short and long-term assets of the State Forest.

2.1.1 Definitions

- a. "Board" means the State Board of Land Commissioners.
- b. "Person" means any individual or individuals, partnerships, firm, association, corporation authorized to do business in Colorado or government entity.
- c. "Qualified Applicant" or "Qualified Bidder" means any applicant or bidder who is able to fulfill the terms and conditions established by the Board.
- d. "State Forest" means the consolidated area of forest lands located in Jackson and Larimer Counties and more specifically in all or parts of:

T6N, R75, 76, and 77W

T7N, R76 and 77W

T8N, R76 and 77W

T9N, R77W

T10N, R77 and 78W

T11N, R78 and 79W

2.1.2 Application for Lease, Permit, License, or Other Right to Use State Forest Lands

- a. Any person wishing to obtain a right to use State Forest lands may submit an application to the Board. Applications for leases, permits, licenses, or other rights to use State Forest lands must be made on forms furnished by the Board or its agent, and completed in full. Any false or wilfully incomplete statement will be considered as fraud, deceit, or misrepresentation and will be cause for the rejection of such application or revocation of any subsequent lease, permit, license, or other use right.
- b. All such applications shall include, at a minimum:
 - i. The name, address, and telephone number of the applicant;
 - ii. The legal description of the State Forest land covered by the application.

- iii. The proposed use or uses to be made of the State Forest land, with as much specificity as possible.
 - iv. Any known effects on agencies or individuals with current operations in the State Forest.
 - v. Conformance with local planning and zoning requirements.
 - vi. The proposed consideration to be paid for the use or uses of the State Forest lands.
- c. The completed application is to be submitted to the Board together with the required filing fees. Application filing fees are not refundable.
 - d. The Board will provide notice of all applications to the Board of County Commissioners of Jackson County.

2.1.3 Grazing, Mineral, and Resource Development

All rights issued for grazing uses, mineral, and other resource development shall be issued in accordance with §§ 36-1-118 and 36-1-113, C.R.S. (1973). Other than for grazing leases which are provided for in § 36-1-118, the Board shall determine whether bidding will be by oral auction or sealed bidding and if bidding is by sealed bid the award shall be to the highest qualified bidder. The Board shall include terms and conditions in the lease, permit, license or other use right which it determines will maximize revenue over the short or long term and protect the assets of the State Forest. The Board also reserves the right to reject any and all bids.

2.1.4 Commercial, Industrial, Residential, Recreational, and Other Uses

- a. Negotiated use rights. The Board may negotiate the terms for a lease, permit, license, or other use right for any commercial, industrial, residential, recreational, or other use not otherwise covered by these regulations, with any qualified applicant for such use. The Board may select any such lawful terms that it determines will maximize the return from the State Forest over the short or long term and will protect the assets of the State Forest.
- b. If there is more than one applicant for a commercial, industrial, residential, recreational, or other use right not otherwise covered by these regulations, and if the Board elects to pursue granting such right, the Board may request competitive bids. The Board may at any time request competitive bids on its own motion or where it determines that more than one applicant is likely to respond to a request for bids. The Board shall determine if the competitive bidding will be conducted by oral auction, sealed bidding, or pursuant to a request for proposals.

2.1.5 Building of Trails and Roads

The Board shall have the authority to approve or disapprove access in the State Forest and may establish such requirements for the construction, maintenance or improvements of trails or roads, or the expense thereof, as it shall deem appropriate.

2.1.6 Advertising

- a. All competitive bids, including requests for proposals, shall be noticed in a newspaper of general circulation in Jackson and Larimer Counties of the State of Colorado. The notice shall include the proposed legal description of the State Forest lands affected, the proposed use and the requirements of the bid response, and the notice shall be published at least 30 days prior to the final date for the submission of bids.

- b. In addition to publication in the newspaper as provided in paragraph (a) above the Board may give further notice of any competitive bid by any means it deems appropriate.

Editor's Notes**History**